DA MARKET SECURITIES, INC. *Employing Intelligent Investing*

FIRST NEWS

Institutional Pre-Market Equity Research **Wednesday, 08 July 2026**
Market data for the PSE session of Tuesday, 07 July 2026 · all figures reconciled to the PSE Daily Quotation Report

◆ THE CALL

› **Constructive but narrow — respect the tape's concentration.** The index's +0.37% masks negative breadth and broad foreign distribution outside a handful of heavyweights.

› **ICT is the standout — ACCUMULATE.** A ₱778M inflow makes it the desk's flow anchor; add on any consolidation.

› **Use foreign profit-taking in AC & ALI as entry (ACCUMULATE on weakness).** Local buying is absorbing the supply; theses are intact (ALI's ₱6.24B ELJ landbank cleared).

› **Banks led the bid on a credit tailwind (M3 +12.8%, lending +12.5%) — but MONITOR.** PHL 10Y above 7% keeps BDO/BPI/MBT gated until yields cooperate.

› **Fade the crowd in telcos (TEL/GLO MONITOR); accumulate CNVRG only on weakness, sized for index-exclusion risk.** Watch the RRHI take-private and PAL's capacity adds.

QUICK HIGHLIGHTS *What matters this morning*

1. PSEi edged +0.37% to 6,247.11 (+23.12 pts) — but breadth was NEGATIVE (82 advancers vs 97 decliners). A narrow, top-heavy tape.
2. ICT WAS the market: a ₱778.0M net-foreign inflow (larger than the market's entire ₱770.4M net buy), a ~4% close, and single-handed leadership of Services (+2.76%).
3. Foreign investors net buyers of ₱770.4M (≈US$12.5M) — but concentrated in ICT + BPI (+₱245.8M) + BDO (+₱193.5M); nearly everything else saw distribution.
4. Four of six sectors fell — Holding −1.27%, Property −1.07%, Industrials −0.82%, Mining −0.41%. Only Services (+2.76%) and Financials (+0.14%) closed green.
5. Clear rotation OUT of property & telcos: ALI −₱39.9M, SMPH −₱36.3M, TEL −₱51.1M, GLO −₱36.8M, CNVRG −₱39.1M (fresh 52-wk low), JFC −₱35.6M.
6. Rates still the gate: PHL 10Y eased to 7.10% but holds above our 7% caution line → banks stay MONITOR; US 10Y backed up to 4.55%.
7. Global risk-off: Wall Street lower on a tech→defensives/energy rotation (Nasdaq −1.16%); KOSPI −4.9% and Nikkei −2.1% on the Samsung/AI-chip selloff; oil ripped +5–6% (WTI $72.37).
8. Corporate: Robinsons Retail (RRHI) heads for delisting after the Gokongwei tender hit 99.69%; PAL adds Japan/Australia capacity; PSE lifts its fundraising target.

GLOBAL MARKETS *prior close → 07 Jul*

Index / Instrument	06 Jul	07 Jul	Chg
Dow Jones	53,055.91	**52,925.15**	▼ −0.25%
S&P 500	7,537.43	**7,503.85**	▼ −0.45%
NASDAQ	26,121.16	**25,818.69**	▼ −1.16%
PSEi (PCOMP)	6,223.99	**6,247.11**	▲ +0.37%
Nikkei 225	69,737.69	**68,256.96**	▼ −2.12%
Shanghai Comp	4,041.24	**3,990.24**	▼ −1.26%
Hang Seng	23,616.32	**23,496.89**	▼ −0.51%

Index / Instrument	06 Jul	07 Jul	Chg
KOSPI	8,051.33	**7,656.31**	▼ −4.91%
SENSEX (India)	78,285.07	**78,180.72**	▼ −0.13%
Taiwan TWSE	46,556.39	**45,479.11**	▼ −2.31%
ASX 200	8,830.97	**8,803.92**	▼ −0.31%
FTSE Bursa KLCI	1,683.53	**1,682.93**	▼ −0.04%
Jakarta JCI	5,916.07	**5,986.50**	▲ +1.19%
STI (Singapore)	5,259.81	**5,342.24**	▲ +1.57%
SET (Thailand)	1,060.79	**1,054.66**	▼ −0.58%
Vietnam VN	1,843.50	**1,848.25**	▲ +0.26%

COMMODITIES

Index / Instrument	06 Jul	07 Jul	Chg
WTI Crude ($/bbl)	68.47	**72.37**	▲ +5.70%
Brent Crude ($/bbl)	71.80	**76.09**	▲ +5.97%
Gold COMEX ($/oz)	4,141.50	**4,119.60**	▼ −0.53%
Silver COMEX ($/oz)	61.61	**60.37**	▼ −2.01%
Copper COMEX (¢/lb)	617.90	**616.95**	▼ −0.15%
Nickel ($/MT)	18,606.12	**18,790.37**	▲ +0.99%
Coal ($/MT)	129.10	**128.00**	▼ −0.85%
Corn (¢/bu)	441.50	**461.50**	▲ +4.53%
Wheat (¢/bu)	599.75	**615.75**	▲ +2.67%
Cocoa ($/MT)	5,036.00	**5,759.00**	▲ +14.36%
Sugar (¢/lb)	14.85	**15.14**	▲ +1.95%

CURRENCIES & RATES

Index / Instrument	06 Jul	07 Jul	Chg
PHL 10Y Bond (%)	7.116	**7.101**	▼ −1.5 bp
US 10Y Bond (%)	4.467	**4.551**	▲ +8.4 bp
USD–PHP	61.49	**61.51**	▲ +0.03%
USD–JPY	161.34	**161.90**	▲ +0.35%
USD–CNY	6.7805	**6.7939**	▲ +0.20%
EUR–USD	1.1437	**1.1430**	▼ −0.06%

Yield rows show the day’s change in basis points; rising yields (red) are an equity headwind.

PHILIPPINE SESSION *PSE · 07 July 2026*

PSEI CLOSE	% CHANGE	POINTS	DAY RANGE	VALUE TRADED	NET FOREIGN
6,247.11	+0.37%	+23.12	6,241.93–6,297.46	₱5.69B	+₱770.4M

Breadth belied the tape. The PSEi rose +0.37% to 6,247.11 (+23.12 pts, day range 6,241.93–6,297.46), yet decliners (97) outnumbered advancers (82) with 61 unchanged across 240 traded issues. The advance was narrow and heavyweight-driven — chiefly ICT — while four of six sectors fell. Value turnover reached ₱5.69B (grand total, including ₱364.6M of block sales; ₱5.33B on the main board), and 80,353 trades crossed the tape.

Global backdrop. Wall Street closed mostly lower on a rotation out of overbought AI/semiconductors into defensives and energy, with the Nasdaq off −1.16% and roughly US$450–500B of S&P 500 market cap erased, concentrated in large-cap tech. Asia was harder hit: the KOSPI fell ~4.9% (a Samsung-earnings-triggered circuit breaker) and the Nikkei −2.1% as the chip selloff spread. Oil ripped +5–6% (WTI $72.37, Brent $76.09), lifting energy names, while gold eased to $4,119.60. Locally, M3 money supply accelerated to +12.8% y/y in May with bank lending +12.5% — a supportive liquidity and credit backdrop for the banks.

SECTOR PERFORMANCE

Sector	Close	%Chg	Pts	Value (₱M)
Financials	1,946.58	**+0.14%**	+2.78	1,327.1
Industrials	8,414.20	**−0.82%**	−70.06	963.0
Holding Firms	4,465.51	**−1.27%**	−57.80	715.6
Property	1,896.57	**−1.07%**	−20.65	394.9
Services	3,290.99	**+2.76%**	+88.53	2,183.5
Mining & Oil	14,626.65	**−0.41%**	−61.56	106.3
All Shares	3,392.86	**+0.11%**	+3.89	—

FOREIGN FLOWS *Net +₱770.4M (≈US$12.5M)*

Foreign flows — a concentrated bid. Overseas investors were net buyers of ₱770.4M (≈US$12.5M): ₱3,039.6M bought against ₱2,269.1M sold. But the net figure flatters the tape — ICT alone drew ₱778.0M, and with BPI (+₱245.8M) and BDO (+₱193.5M) that trio more than accounted for the entire market's net buy. Everything else saw distribution: PLDT (−₱51.1M), ALI (−₱39.9M), CNVRG (−₱39.1M), Globe (−₱36.8M), SMPH (−₱36.3M) and JFC (−₱35.6M) led the outflows. Month-to-date and year-to-date foreign flows remain net-negative.

Top Buys	₱M	Top Sells	₱M
ICT	**+778.0**	**TEL**	**−51.1**
BPI	**+245.8**	**ALI**	**−39.9**
BDO	**+193.5**	**CNVRG**	**−39.1**
URC	**+15.1**	**GLO**	**−36.8**
EMI	**+12.4**	**SMPH**	**−36.3**
SLF	**+8.1**	**JFC**	**−35.6**
COSCO	**+3.5**	**PGOLD**	**−25.6**
ATLAS	**+2.6**	**SCC**	**−20.2**

MOST ACTIVE *by main-board value*

Ticker	Close	Value (₱M)	Net Foreign (₱M)
ICT	930.00	1,553.4	**+778.0**
BDO	127.70	596.5	**+193.5**
BPI	104.00	361.1	**+245.8**
JFC	146.50	223.1	**−35.6**
SM	601.00	175.6	**−10.9**
MBT	66.20	175.3	**−7.1**
AC	486.80	155.1	**−6.0**
ALI	15.70	118.5	**−39.9**
TEL	1,161.00	99.5	**−51.1**
MER	578.00	91.1	**−16.6**
SMPH	18.38	90.7	**−36.3**

CORPORATE & MARKET NEWS *stances actionable*

ICT — Dollar-earner leads — ₱778M foreign inflow drives the whole tape

International Container Terminal Services closed at ₱930.00, up roughly 4%, the day's #1 most-active name at ₱1.55B turnover and the runaway foreign favourite with a ₱778.0M net inflow — by itself larger than the market's entire ₱770.4M net buy and a sharp reversal from the prior session's rare foreign sell. As a US-dollar-revenue global port operator, ICT is a natural hedge with the peso near ₱61.50 and US yields backing up. Its strength single-handedly lifted the Services sector +2.76% (the day's only strong gainer) and masked broad weakness elsewhere on the board.

Our take. *Flow leadership of this scale confirms ICT as the offshore community's preferred PSE vehicle; the move is fundamentally, not technically, driven. It remains the desk's flow anchor and we would add into any consolidation rather than chase the print.*

STANCE: ACCUMULATE

BDO · BPI · MBT — Foreign money floods banks — but the 10Y still gates the call

BPI (+₱245.8M) and BDO (+₱193.5M) were the #2 and #3 foreign buys and both sat among the most active, yet Financials still eked only +0.14% — the bid was concentrated, not broad. The macro backdrop is supportive: M3 money supply accelerated to +12.8% y/y in May (from +12.2%), with bank lending +12.5% and net loans +12.1% — a clear liquidity and credit-growth tailwind. MBT lagged, closing slightly lower on a small foreign sell (−₱7.1M).

Our take. *Fundamentals are improving, but the PHL 10Y at 7.10% remains above our 7% caution line, capping the NIM re-rating case. We would accumulate BPI/BDO on rate-driven dips; the gating factor is the yield, not the flow.*

STANCE: MONITOR

AC — Ayala Corp dips on local profit-taking — thesis unchanged

AC closed ₱486.80 (−2.05%) with a small foreign sell (−₱6.0M) plus a 50,000-share block at ₱497. The weakness is local repositioning rather than a change in the story: the ALI buyback floor and ACMobility/BYD distribution optionality remain intact, and Healthway's clinic roll-out continues to build out the services franchise.

Our take. *A holding-company pullback into a still-improving earnings mix is an entry, not an exit. Accumulate on weakness.*

STANCE: ACCUMULATE

ALI — Deep value absorbs foreign supply as ELJ landbank clears

Ayala Land closed ₱15.70 (−1.38%) as the #2 foreign sell (−₱39.9M) — yet it was still the #8 most-active name, evidence that local buyers are absorbing the offshore supply. The ₱6.24B ABS-CBN (ELJ) landbank acquisition has cleared regulatory review, adding prime inventory at an attractive basis.

Our take. *ALI trades at a deep discount to NAV; persistent foreign profit-taking is the opportunity, not the warning. Accumulate on weakness.*

STANCE: ACCUMULATE

JFC — Foreign profit-taking persists despite the franchise strength

Jollibee closed ₱146.50 (−1.68%), the #4 most-active name, but drew a ₱35.6M foreign sell — the sixth-largest of the session and part of a multi-week pattern of offshore trimming. The operating story is unchanged; the flow is not.

Our take. *We move to the sidelines until the selling stabilises. Fundamentally sound, tactically patient.*

STANCE: MONITOR

CNVRG — Fresh 52-week low on heavy foreign selling — accumulate carefully

Converge closed ₱9.51 (−2.96%), printed a new 52-week low and was the #3 foreign sell (−₱39.1M). The stock now sits roughly 52% off its peak, and index-exclusion risk is a genuine overhang given the persistent outflow and weakening relative strength.

Our take. *We keep an accumulate-on-weakness stance for the long-term fibre thesis, but size positions for the index/liquidity risk — this is not a place to be early with size.*

STANCE: ACCUMULATE ON WEAKNESS

TEL · GLO — Telcos lead the foreign exodus — PLDT the single biggest sell

PLDT (TEL) closed ₱1,161 as the #1 foreign sell of the day (−₱51.1M), with Globe (GLO) close behind (−₱36.8M). Ex-ICT, Services flow was decisively negative, and the two telco heavyweights accounted for the bulk of it.

Our take. *Offshore de-risking of the telcos continues; the dividend case is intact but the tape is against them near-term. Monitor.*

STANCE: MONITOR

ACEN — Energy rotation pressures the RE leader — a chance to add

ACEN closed ₱3.07 with a ₱23.8M foreign sell as the day's oil spike drove a rotation toward conventional energy. The renewables pipeline (domestic and overseas) is unchanged and the balance sheet remains geared to the build-out.

Our take. *Short-term commodity rotation is the opportunity in a structural clean-energy name. Accumulate on weakness.*

STANCE: ACCUMULATE

FGEN — Rare energy name bought by foreigners on the oil bid

First Gen closed ₱16.70 higher and — unusually for the day — drew net foreign buying (+₱1.8M). Its gas-and-clean-energy mix and pumped-storage optionality make it a beneficiary of firmer energy prices without pure fossil exposure.

Our take. *A defensible cash-flow profile with green optionality; we stay constructive. Accumulate.*

STANCE: ACCUMULATE

🟡 MYNLD — Index-inclusion catalyst weighed against supply risk

Maynilad closed ₱20.50 with a ₱8.4M foreign sell. The August PSEi-inclusion catalyst remains the near-term positive, set against Angat/El Niño-linked water-supply risk that clouds the operating outlook.

Our take. *We wait into the inclusion event; risk/reward is balanced until supply visibility improves. Monitor.*

STANCE: MONITOR 🟡

⚪ RRHI — Robinsons Retail heads for the exit — Gokongwei tender hits 99.69%

The Gokongwei family has secured 99.69% of Robinsons Retail Holdings after a successful tender offer, clearing the threshold for a voluntary delisting and ending the retailer's 12-year run as a listed company. RRHI closed ₱44.50 and screens RSI-oversold; the stock will exit the tradable universe once the delisting completes.

Our take. *The event is effectively over. Minority holders should evaluate the tender terms against any residual liquidity; there is no longer an open-market thesis here.*

STANCE: TENDER — EVALUATE TERMS ⚪

🟡 JGS — RRHI take-private simplifies the Gokongwei retail structure

JG Summit, the Gokongwei flagship, closed ₱25.60 with a ₱16.5M foreign sell (plus a ₱69.4M block crossing). The Robinsons Retail privatisation streamlines the group's retail holdings and could sharpen the capital-allocation narrative at the parent.

Our take. *We watch for how proceeds and a simplified structure are redeployed; constructive on the conglomerate discount over time. Monitor.*

STANCE: MONITOR 🟡

🟡 PAL — PAL adds Japan & Australia flights — capacity for the recovery

PAL Holdings will increase frequencies to Japan and Australia, expanding capacity on higher-yield long-haul and regional routes. PAL closed ₱2.60 at a 52-week low and screens RSI-oversold on thin liquidity.

Our take. *Route growth supports the post-pandemic recovery story, but the stock is at cycle lows and illiquid — a watch item rather than an actionable long yet. Monitor.*

STANCE: MONITOR 🟡

🟡 CEB — Cebu Air in a distribution dispute — AirAsia barred from selling its tickets

Cebu Air (CEB) figures in a report that an AirAsia move has been barred from selling its tickets — a competitive/distribution matter. CEB closed ₱29.10 with a small foreign sell (−₱1.35M).

Our take. *A distribution dispute worth monitoring; near-term earnings impact looks limited. Monitor.*

STANCE: MONITOR 🟡

🟡 FLI · FDC — Filinvest links Bicutan land to a future rail hub

Filinvest Land (FLI) turned over land connecting its Bicutan property to a planned rail hub — a transit-oriented-development positive that lifts long-run land value. FLI closed ₱0.69; parent Filinvest Development (FDC) closed ₱4.57.

Our take. *TOD land value is a slow-burn catalyst rather than an immediate earnings driver. Monitor for execution.*

STANCE: MONITOR 🟡

🟢 PSE · SEC — Higher fundraising target and reform push signal issuer confidence

A higher PSE fundraising target points to improving issuer confidence, while the SEC plans further reforms following the Philippines' upgrade to upper-middle-income status. Together they point to a more constructive backdrop for capital formation and new listings.

Our take. *Positive for market structure, deal flow and secondary-market depth over the medium term — supportive context for equities broadly.*

STANCE: CONSTRUCTIVE — MARKET STRUCTURE 🟢

SMARTWATCH *stance board*

Name	Stance	Note
ICT	ACCUMULATE	₱778M foreign inflow; dollar-earner flow anchor, +4% led the whole index.
AC	ACCUMULATE	Local dip (−2.0%); ALI floor + ACMobility optionality — buy weakness.
ALI	ACCUMULATE	Deep value; ₱6.24B ELJ landbank cleared; foreign selling (−₱39.9M) is the entry.
Banks — BDO/BPI/MBT	MONITOR	Led the foreign bid + M3/credit tailwind, but PHL 10Y >7% gates the call.
JFC	MONITOR	Foreign profit-taking persists (−₱35.6M); wait for flow to turn.
CNVRG	ACCUMULATE ON WEAKNESS	Fresh 52-wk low, −₱39.1M out; size for index-exclusion risk.
TEL (PLDT)	MONITOR	#1 foreign sell (−₱51.1M); telco de-risking continues.
GLO	MONITOR	Heavy foreign selling (−₱36.8M) alongside PLDT.
ACEN	ACCUMULATE	RE pipeline intact; −₱23.8M on the energy rotation is opportunity.
FGEN	ACCUMULATE	Rare energy name bought by foreigners (+₱1.8M); clean-energy optionality.
MYNLD	MONITOR	PSEi Aug-inclusion catalyst vs Angat/supply risk; −₱8.4M outflow.
RRHI	TENDER	Gokongwei tender at 99.69% → voluntary delisting; evaluate terms.
JGS	MONITOR	RRHI take-private simplifies retail; watch capital allocation.
PAL	MONITOR	Adds Japan/Australia flights; at 52-wk low on thin liquidity.

Name	Stance	Note
CEB	**MONITOR**	AirAsia ticket-selling dispute; limited near-term earnings impact.
SCC	**MONITOR**	Foreign selling (−₱20.2M) + RSI-oversold; coal soft.

Legend: ■ Accumulate / Buy ■ Monitor / Neutral ■ Hold ■ Tender / Speculative